

MEMORANDUM

To: Marcus Chen, Staff Accountant

From: Rachel Whitfield, Senior Associate / Billing Supervisor

Date: January 6, 2025

Re: Review of December 2024 AR Reconciliation Draft

Marcus, I have reviewed your draft reconciliation comparing December Clio billing to QBO accounts receivable. Good work getting the matter-level detail pulled together. Below are my notes on the items that need attention before we finalize.

1. QBO AR Source Balance

For the firm's AR reconciliation, always use the AR Aging Summary as the authoritative QBO balance. The aging report is generated directly from the customer subledger and reflects the most current posting activity by matter. The general ledger can lag behind subledger postings when batch entries or period-end adjustments have not been fully processed. Your draft correctly uses the aging total of \$1,729,013.00 as the QBO comparison figure.

2. Northbridge Insurance Group (M-2024-0009)

The December 31 IOLTA trust-to-operating transfer for Northbridge (\$8,773.31, JE-OB-000918) was processed after the aging report cutoff. These year-end IOLTA transfers frequently post to the operating account and the GL before the AR subledger updates, which is why the aging still shows the pre-transfer balance. The draft correctly deducted this from the aging balance to arrive at the adjusted QBO AR of \$13,237.35. Please add a note referencing the specific journal entry number for the audit file.

3. Write-Down and Write-Off Classification

Per the updated firm billing policy effective Q3 2024, all partner-approved fee reductions should be classified as write-downs regardless of the underlying reason. This aligns our reporting with how the partners review realization metrics. The Clio system still has separate fields for write-downs and write-offs, but for reconciliation and reporting purposes, combine them into a single write-down category. Your draft total of \$126,770.82 in write-downs with zero write-offs is correct under the current policy.

4. Bayshore Logistics (M-2024-0005)

The \$125.00 difference on Bayshore between Clio (\$23,818.10) and the aging (\$23,693.10) is a known subledger posting error from the November close. IT has a ticket open to correct the aging subledger. This does not affect the GL balance or the actual AR. Note it as a reconciling item and move on.

5. Cascade Foods Holdings (M-2024-0020)

The \$7,059.28 year-end write-down on INV-2024-0232 processed in QBO on December 31 but the Clio outstanding balance has not updated to reflect it yet. This is a normal processing lag on year-end invoices. Your draft correctly adds this back to the Clio balance for comparison purposes. The adjusted Clio figure of \$84,647.91 is the right comparison point until the January billing cycle runs.

Once you address these items, the reconciliation should be ready for partner review. Let me know if you have questions on any of the above.

MEMORANDUM

To: Marcus Chen, Staff Accountant

From: David Park, CPA, Controller

Date: January 8, 2025

Re: Comments on AR Reconciliation Draft and Rachel's Review Notes

Marcus, I reviewed both your draft reconciliation and Rachel's January 6 memo. A few comments.

1. QBO AR Source Balance

Rachel is correct that the AR Aging Summary is the best comparison point for matter-level detail. The aging pulls directly from the customer subledger and gives you the cleanest matter-by-matter view. Use the aging total as your QBO benchmark.

2. Northbridge Insurance Group (M-2024-0009)

I pulled JE-OB-000918 from the journal entry register and confirmed it posted on December 31. Rachel's analysis is correct. The IOLTA transfer cleared the operating bank on the 31st, and these late-day transfers often lag in the subledger. The adjusted balance of \$13,237.35 is the right figure for the reconciliation.

3. Write-Down and Write-Off Classification

I need to push back on Rachel's note here. The Q3 policy memo applied specifically to partner-negotiated fee adjustments on active matters. It does not cover uncollectible balance write-offs, which post to Bad Debt Expense rather than the Fee Revenue contra account. Write-downs and write-offs must be tracked separately for accurate realization reporting.

I pulled the Clio billing data and the write-off column shows activity on four matters: Crestwood Capital (\$8,284.63), Allerton Pharmaceuticals (\$7,182.69), Hartwell Construction (\$1,266.03), and Pinnacle Therapeutics (\$502.84). The December write-off total should be \$17,236.19, and write-downs should be \$109,534.63. Those figures preserve the \$126,770.82 combined total but split it correctly between the two categories.

4. Cascade Foods Holdings (M-2024-0020)

Rachel's analysis on the Cascade write-down timing is consistent with what I have seen on other year-end adjustments. The Clio system typically processes write-down updates during the next billing cycle. The \$84,647.91 adjusted figure is appropriate for comparison.

5. Bayshore Logistics (M-2024-0005)

Agreed with Rachel. The \$125.00 is a known subledger posting error. IT has the ticket. Note it as a reconciling item and move on.

Happy to discuss any of this further before the reconciliation goes to partner review.